Microsoft Investment Thesis

Microsoft Corporation (NASDAQ: MSFT) **Prepared by: Selwyn Rai**
Information and market data as of 28th July 2026 Thesis Date: 18th August 2026
Rating: HOLD

DCF Value	Market Price	Downside	WACC	Terminal Growth
$239.07	$393.35	(39.2%)	9.81%	2.50%

1. Executive Summary

As one of the leading companies in global technology, Microsoft is supported by a broad and deeply integrated ecosystem spanning Microsoft 365, Azure, Windows, GitHub, gaming and enterprise software. I rate the shares **HOLD**. The long-term investment case is supported by recurring enterprise relationships, Azure's scale and the opportunity to monetise AI through Microsoft 365 Copilot, Azure AI and developer tools. However, the current valuation requires strong execution, particularly as AI infrastructure remains capital intensive and competition continues to increase.

My DCF produces an implied value of **$239.07 per share**, compared with the **$393.35** share price used at the valuation date. I do not treat the resulting **39.2% downside** as a precise Sell signal because the model uses relatively simplified, consolidated forecasts and may not fully capture the upside from individual businesses such as Azure and AI. The key investment question is whether Microsoft's AI and cloud businesses can generate sufficient future revenue, profitability and free cash flow to justify the growth expectations already reflected in the current share price.

2. Company Overview

Business Model

Microsoft Corporation is a global technology company operating across three core segments: Productivity and Business Processes, Intelligent Cloud, and More Personal Computing. Productivity and Business Processes includes products such as Microsoft 365, LinkedIn and Dynamics; Intelligent Cloud consists of Azure, GitHub and other cloud and server products; while More personal Computing includes Windows, gaming, search and related consumer products.

Microsoft's growth profile has been attributed to all three business segments but recently is increasingly being tied to cloud and AI. MD&A highlights Microsoft 365 Commercial cloud growth and Azure and other cloud services growth as key indicators of health of its core businesses. However, this growth also requires substantial investment as Microsoft reported that Intelligent Cloud gross margin was pressured by the cost of scaling AI infrastructure, while R&D spending increased partly because of further investment in cloud and AI engineering.

FY2025A Snapshot

Revenue: $281.7bn
Operating Income: $128.5bn
Net Income: $101.8bn
Operating Margin: 45.6%

In FY2025, Microsoft generated ***$281.7bn of revenue****, up 15% year-on-year, and* ***$128.5bn of operating income****, up 17%*

3. Investment Case Summary

1| Ecosystem	2| AI & Azure	3| Valuation
Integration across Microsoft 365, Azure, Windows, GitHub and security creates switching costs, cross-selling and durable revenue.	Copilot, Azure AI and developer tools could become the next major source of incremental growth and higher revenue per customer	The business is exceptional, but high AI investment and demanding expectations reduce the margin of safety at the model-date share price

Microsoft Corporation | Investment Thesis

4. Investment Thesis

4.1 Microsoft's Ecosystem Creates durable competitive advantage

Microsoft's strength comes from the breadth of its ecosystem rather than any single product. Many enterprise customers already integrate Microsoft 365, Teams, Azure, Power BI, GitHub and other Microsoft services into their businesses, which can make switching providers costly and complex. This supports customer retention while also giving Microsoft a strong platform to cross-sell newer products such as Copilot. This ecosystem is one of Microsoft's biggest competitive advantages because it allows the company to generate recurring revenue, increase revenue per customer and introduce new products to an already established user base. Over time, this should help support more durable cash flows and allow Microsoft to maintain strong margins compared with a standalone software product.

4.2 AI, Copilot and Azure could drive the next growth engine

Microsoft's traditional products remain central to the business, but I see cloud and AI as the most important areas for future growth. Microsoft can monetise AI through Azure infrastructure, Microsoft 365 Copilot, developer tools such as GitHub Copilot and broader integration of AI across its existing products. My model assumes **revenue** grows from **$281.7bn in FY2025A** to **$455.4bn in FY2030E**, while **UFCF** rises from **$85.8bn in FY2026E** to **$148.2bn in FY2030E**. If Azure and Copilot adoption remain stronger for longer than I currently expect, my model could be understating Microsoft's future growth and intrinsic value.

4.3 Valuation and AI investment economics are the key concern

My main concern is not the quality of Microsoft's business, but whether the current valuation already reflects too much of its future growth. AI creates a significant opportunity, but the infrastructure required to support it is expensive and can put pressure on margins. My model assumes CapEx remains high at **21.0% of revenue in FY2026E**, before gradually falling to **17.0% by FY2030E**. For the current valuation to be justified, Microsoft needs to convert its AI investment into strong additional revenue, profit and free cash flow. If AI monetisation is slower than expected while capital expenditure remains elevated, returns on that investment could disappoint even if the business continues to grow.

5. Catalysts and What I would Monitor

Catalysts	Risks to Monitor
• Stronger-than-expected adoption of Microsoft 365 Copilot • Sustained Azure and AI-related cloud growth • AI-related revenue growing faster than associated infrastructure costs • Improving datacentre utilisation and capital efficiency • Higher Microsoft 365 revenue per user through Copilot and AI features	• Slow Azure Growth • Weak paid Copilot adoption or pricing pressure • CapEx remaining high without comparable growth in free cash flow • Increasing competition across cloud and AI • AI monetisation failing to offset infrastructure and R&D spending

These are the main indicators I would monitor to assess whether Microsoft's AI and cloud investment is generating sufficient returns to support the current valuation and potentially change my HOLD recommendation

Microsoft Corporation | Valuation and Risk

6. Valuation

The model values Microsoft using a five-year Unlevered Free Cash Flow DCF and a Gordon Growth terminal value. The output should be interpreted as the value implied by the model's assumptions, not as a perfectly precise price target. DCF Metric Base Case

DCF Metric	Base Case
WACC	9.81%
Terminal Growth Rate	2.50%
PV of Forecast UFCF	$432.2bn
Enterprise Value	$1,734.9bn
Equity Value	$1,786.3bn
Diluted Shares	7,472m
Implied Share Price	$239.07
Model-Date Share Price	$393.35
Implied Downside	(39.2%)

7. Sensitivity Analysis

Implied Share Price Sensitivity ($/share)					
WACC ↓ / Terminal Growth →	**1.50%**	**2.00%**	**2.50%**	**3.00%**	**3.50%**
8.81%	$247.11	$261.35	$277.84	$297.17	$320.15
9.31%	$230.86	$243.05	$257.02	$273.22	$292.20
9.81%	$216.58	$227.11	**$239.07**	$252.80	$268.70
10.31%	$203.94	$213.10	$223.43	$235.18	$248.66
10.81%	$192.67	$200.70	$209.69	$219.84	$231.38

Key takeaway: Even under the most optimistic assumptions in my sensitivity analysis (**8.81% WACC and 3.5% terminal growth rate),** the model produces an implied value of **$320.15 per share**, still below the **$393.35** share price at the valuation date. This supports my view that Microsoft's current valuation is demanding. However, because my forecasts are relatively simplified and consolidated, there is still a risk that the model understates Microsoft's future growth potential.

8. Key Risks

Model risk: Because my forecasts are mainly consolidated, the model may be too conservative and could understate how long Azure, Copilot and AI-related growth can remain strong.

AI monetisation risk: Microsoft may struggle to generate enough additional revenue from Copilot and other AI products to justify the amount being spent on infrastructure.

Competition: Strong competition across cloud, AI and developer tools could put pressure on Microsoft's pricing power and market share.

Mature-product risk: Some of Microsoft's traditional products are already well established, so future growth may rely more heavily on pricing, upselling and adding new AI features

Microsoft Corporation | Thesis reassessment and Conclusion

9. Thesis Reassessment

If Microsoft's shares perform much better than I expect, the most likely reason would be that I underestimated the size and duration of the company's AI opportunity. Stronger Copilot adoption, faster Azure growth and better-than-expected AI monetisation could all make my forecasts too conservative.

On the other hand, if the shares perform worse than expected, it could be because AI spending remains high while revenue growth, margins or free cash flow fail to improve enough to justify that investment. I would become more positive on the shares if Azure and Copilot begin generating clearer additional free cash flow while the level of capital spending starts to moderate.

10. Conclusion

I rate Microsoft **HOLD**. The company remains one of the strongest businesses in global technology, supported by a broad ecosystem and further growth opportunities through Azure, Copilot and AI. However, I do not think a strong business automatically makes a stock attractive at any price.

My DCF suggests that the current share price requires stronger future growth and returns from AI investment than my base-case assumptions currently support. At the same time, I recognise that my model is relatively simple and may understate Microsoft's longer-term growth potential.

For this reason, I would **hold the shares rather than buy aggressively or sell outright**. The main areas I would continue to monitor are Azure growth, Copilot adoption, AI-related margins, capital expenditure and whether Microsoft can convert its AI investment into sustainable free cash flow.

Sources, supporting data and methodology are available in the accompanying GitHub README.